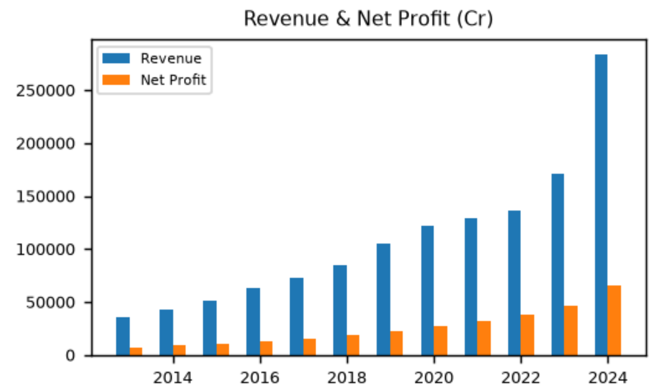
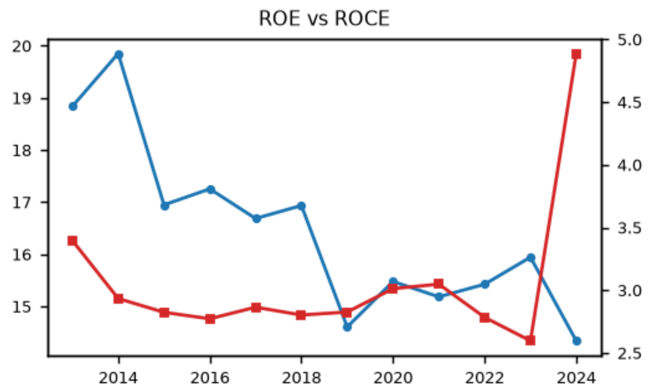
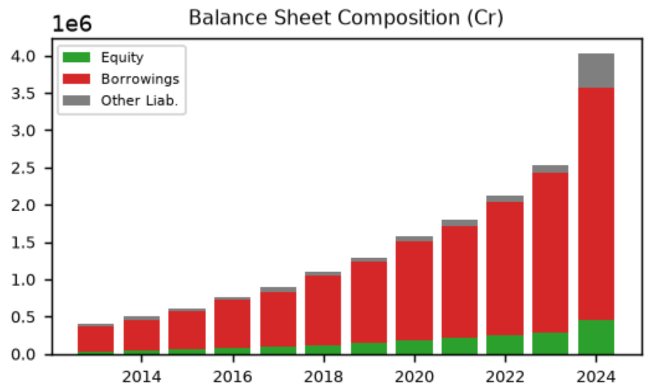
HDFC Bank Ltd (HDFCBANK)

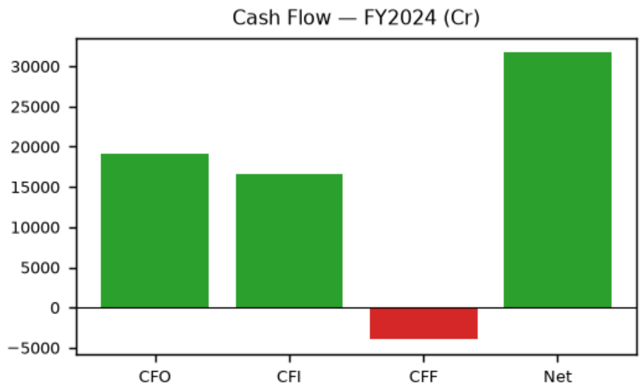
Financials · Fiscal Year 2024

ROE 14.3%	**ROCE** 4.9%	**Net Profit Margin** 23.1%
D/E 6.8	**Revenue CAGR 5yr** 22.0%	**FCF (Cr)** 35,669









Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Liquidating Assets